Broadly speaking and purely at the level of the central government, there are three major types of subsidies–food subsidies (for farmers and the poor who avail the public distribution system), fertiliser subsidies (for farmers), and petroleum subsidies (for the poor and the middle class, on Kerosene and LPG, which they directly consume; or diesel which fuels the transport industry that carries essential goods and thus has an impact on their prices). These are clearly visible in the government's budget document. Apart from these, there are also *minor subsidies* such as on interest rates and subsidies hidden in the provision of social and economic services–mainly healthcare and education. In social services, the Centre's participation is limited. Most of the social sector expenditure pertains either to the Union Territories that figure in the Union budget, or are in the nature of departmental transfers to state governments.

The regime of subsidies has been a contentious issue of higher order in India. The benefits from subsidies can be maximised only when they are transparent, well targeted, and suitably designed for effective implementation without any leakages. Various studies have shown how the proliferation of subsidies in India is an outcome of undue expansion of government activities in the provision of goods and services that are not pure public goods. Subsidies result from the government's inability to recover its costs adequately in many of these activities. Critics have blamed this on the ill-considered use of subsidies by political parties for electoral ends and have been arguing for reduction of some subsidies and the phasing out of others. Those who support the continuing of subsidies, however, argue that the focus on reducing subsidies only comes about because of the government's failure to raise tax revenues.

## SUBSIDY BIDDING

It is competitive bidding for subsidies, where companies bid against one another to serve an area at the lowest price–the lure is the subsidy and other benefits. This system is a way of administrating subsidies without leaving any room for some competitors or technologies gaining an edge over others. But competitive bidding has anticompetitive effects, since it gives a special